Casualty Renewal Options for

UNIVERSAL®
ENGINEERING SCIENCES

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Agenda

Primary Casualty Programs

(General Liability, Workers Compensation, and Auto Liability)

- Current Status
- Other Lines of Coverage renewing on 01/01/23
- Losses
  - History
  - 2022 Estimated Ultimate Cost
  - 2023 Projected
- Large Deductible Vs. Captive Program
- Renewal Options
  - Everest Large Deductible (incumbent – 2 options)
  - Liberty Large Deductible
  - Olympus (CRI) – Group Captive (2 options)
  - AIG Large Deductible
- Program Cost Allocation

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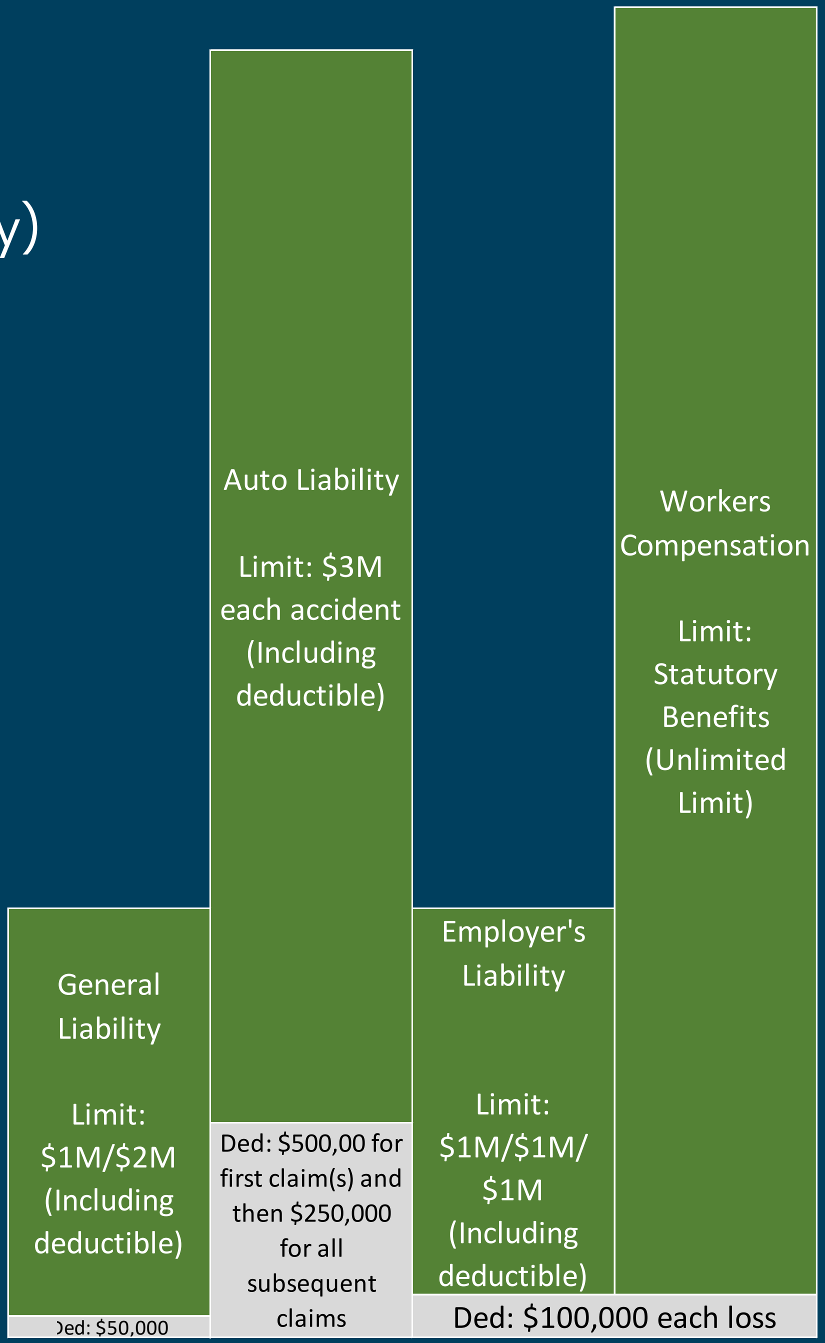
2022 Primary Casualty Program

(General Liability, Workers Compensation, and Auto Liability)

- Premium, taxes, and fees, for risk transfer above deductibles is $3.75M (subject to audit).
- Collateral is $3M for 2022
- At policy inception, the estimated losses within the deductibles was $3.90M.
- As of December 5, $476K in losses have been paid and estimated ultimate loss cost is $2.37M (**another approx. $1.9M to be paid**).
- The primary casualty program (general liability, workers compensation, and auto liability) is, by a wide margin, the largest part of UES's insurance budget.



UES Loss History

(General Liability, Workers Compensation, and Auto Liability)

UES Loss History (October 2022)								
Policy Year	No. of Claims	Paid	Expenses Paid	Reserve	Expenses Reserved	Total	Historical Premium	Loss Ratio
2022 to 2023	58	$408,369	$5,997	$539,498	$0	$953,864	$3,929,047	24%
2021 to 2022	221	$1,540,772	$47,997	$763,106	$6,224	$2,358,098	$6,271,840	38%
2020 to 2021	274	$2,052,982	$84,481	$834,629	$7,837	$2,979,929	$4,948,048	60%
2019 to 2020	285	$3,875,784	$196,175	$1,792,117	$22,010	$5,886,086	$5,012,617	117%
2018 to 2019	230	$5,058,856	$455,651	$477,785	$120,023	$6,112,315	$4,288,995	143%
2017 to 2018	109	$6,712,120	$211,123	$2,908,916	$50,745	$9,882,904	-	-
2016 to 2017	78	$1,441,013	$398,159	$0	$0	$1,839,172	-	-
Grand Total	**1,255**	**$21,089,896**	**$1,399,584**	**$7,316,051**	**$206,838**	**$30,012,369**	**$24,450,547**	**-**

2022 Losses

(General Liability, Workers Compensation, and Auto Liability)

- Everest estimate at 2022 policy inception: $3.9M
- Actual losses within the deductibles as of December 5, 2022

Losses Valued Dec. 5, 2022	Total Paid-to-Date	Total Outstanding	Total Gross	Number
Auto	$174,030	$153,432	$327,462	62
CGL	$0	$1,500	$1,500	1
WC	$302,040	$277,428	$579,468	29
Total	$476,070	$432,360	$908,430	92

- Projected ultimate cost:
  - EPIC: $2.46M
  - Brown & Brown: $3.4M

2023 Losses

(General Liability, Workers Compensation, and Auto Liability)

- 2023 Loss Projections

Option	EPIC	Insurance Company
Everest (as is)	$3,517,000	$5,594,250
Everest (Option B)	$3,765,000	$5,825,250
Liberty	$4,519,000	$6,281,000
Olympus (CRI)	$4,897,000	$4,201,192
AIG	$4,436,000	Did not provide

  - Note the loss pick is only a mid-point. For example, for the Everest “as-is” option, there 68% chance losses will be between $2.4 and $4.6M.

- Loss projections are based on history and do not sufficiently account for improvements in risk management practices.

Pay-Out Patterns

(General Liability, Workers Compensation, and Auto Liability)

- Actuarial data (ISO and NCCI) tells us losses will pay out as follows:
  - During the policy year: 26%
  - Year two: 31% (57% cumulative)
  - Year three: 18% (74% cumulative)
  - Year four: 11% (85% cumulative)
  - Year five: 6% (91% cumulative)
  - Years six though 15: Balance

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Primary Casualty Programs

(General Liability, Workers Compensation, and Auto Liability)

$3.765M is the midpoint. There is a 68% chance losses will be between $2.4M and $4.6M.

				Pay-Out Pattern														
				Policy Year	Yr 2	Yr 3	Yr 4	Yr 5	Yr 6	Yr 7	Yr 8	Yr 9	Yr 10	Yr 11	Yr 12	Yr 13	Yr 14	Yr 15
	Coverage	Deductible	Projection	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033	2034	2035	2036	2037
Average	GL	$50K	$170,000	$10,564	$24,980	$31,673	$32,246	$24,775	$14,982	$9,134	$5,629	$3,613	$2,936	$2,384	$1,743	$1,434	$1,159	$546
	WC	$250K	$1,148,000	$369,464	$356,476	$139,667	$67,923	$38,337	$23,927	$17,659	$13,712	$11,515	$8,763	$8,755	$6,821	$5,910	$4,997	$4,306
	Auto	$500K/$250K	$2,447,000	$604,832	$773,182	$478,536	$304,029	$161,742	$70,704	$30,360	$14,066	$6,240	$1,904	$906	$500	$0	$0	$0
		Total	$3,765,000	$984,860	$1,154,638	$649,876	$404,198	$224,854	$109,614	$57,153	$33,406	$21,367	$13,603	$12,045	$9,063	$7,343	$6,156	$4,853
			% Per Year	26.16%	30.67%	17.26%	10.74%	5.97%	2.91%	1.52%	0.89%	0.57%	0.36%	0.32%	0.24%	0.20%	0.16%	0.13%
			Cumulative %	26.16%	56.83%	74.09%	84.82%	90.79%	93.71%	95.22%	96.11%	96.68%	97.04%	97.36%	97.60%	97.80%	97.96%	98.09%
		Percentages	GL	6.21%	20.91%	39.54%	58.51%	73.08%	81.89%	87.27%	90.58%	92.70%	94.43%	95.83%	96.86%	97.70%	98.38%	98.70%
			WC	32.18%	63.24%	75.40%	81.32%	84.66%	86.74%	88.28%	89.47%	90.48%	91.24%	92.00%	92.60%	93.11%	93.55%	93.92%
			Auto	24.72%	56.31%	75.87%	88.30%	94.90%	97.79%	99.03%	99.61%	99.86%	99.94%	99.98%	100.00%	100.00%	100.00%	100.00%

Notes: The above loss projection is the EPIC loss pick for the Everest Renewal (B) option.

The loss development factors (LDFs) used to develop the loss projection are from Insurance Services Office/Verisk for GL and Auto and NCCI for WC. EPIC then then calculates weighted LDFs based on UES's exposure distribution by state and applies an adjustment to calculate the LDFs by deductible size.

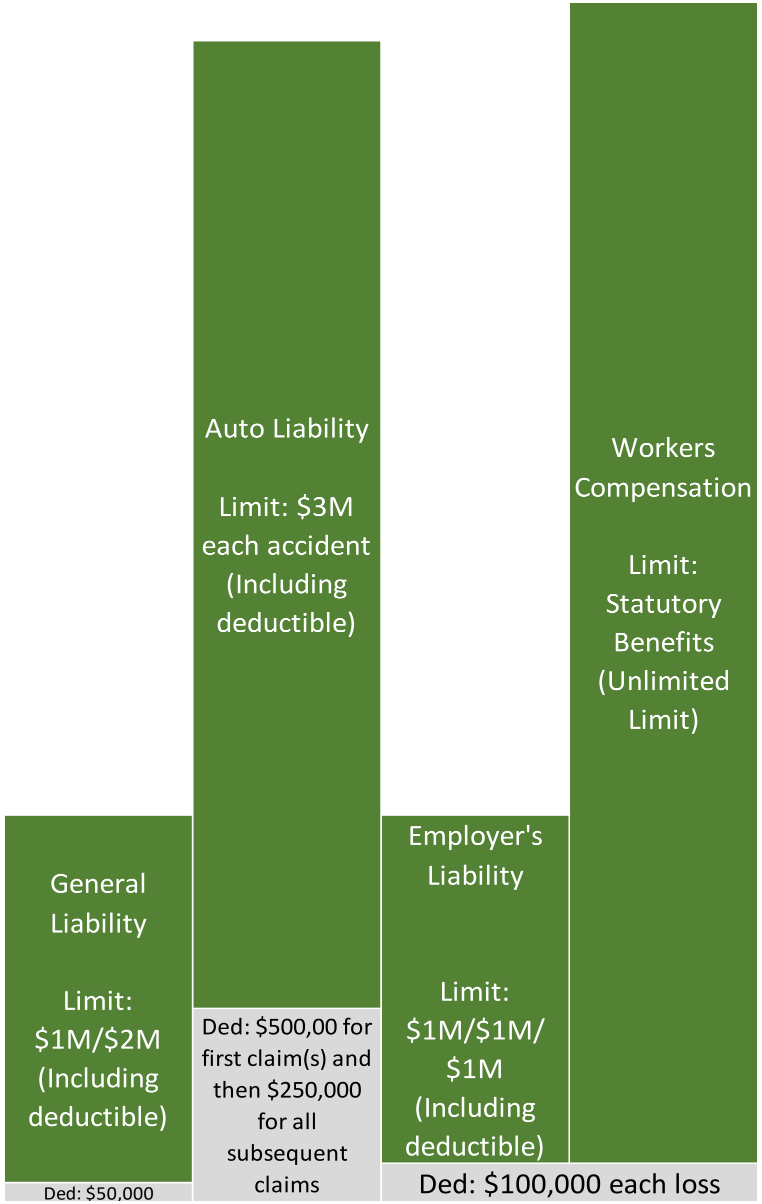
Large Deductible vs. Group Captive

(General Liability, Workers Compensation, and Auto Liability)

- Large Deductible (current program):
  - Losses are paid over time, but program costs are higher
  - 26% of losses are paid in policy year, 74% after policy expiration
  - Five years from now, loss payments and collateral from prior years will “stack up”
  - Individual policy years can remain open for 10+ years
- Group Captive – Paid Loss Approach
  - Program costs are lower
  - Paid losses only are paid as they happen (over multiple years)
  - Additional collateral is required
  - Five years from now, loss payments from prior years will “stack up”
  - Program can be closed out in as little as five years

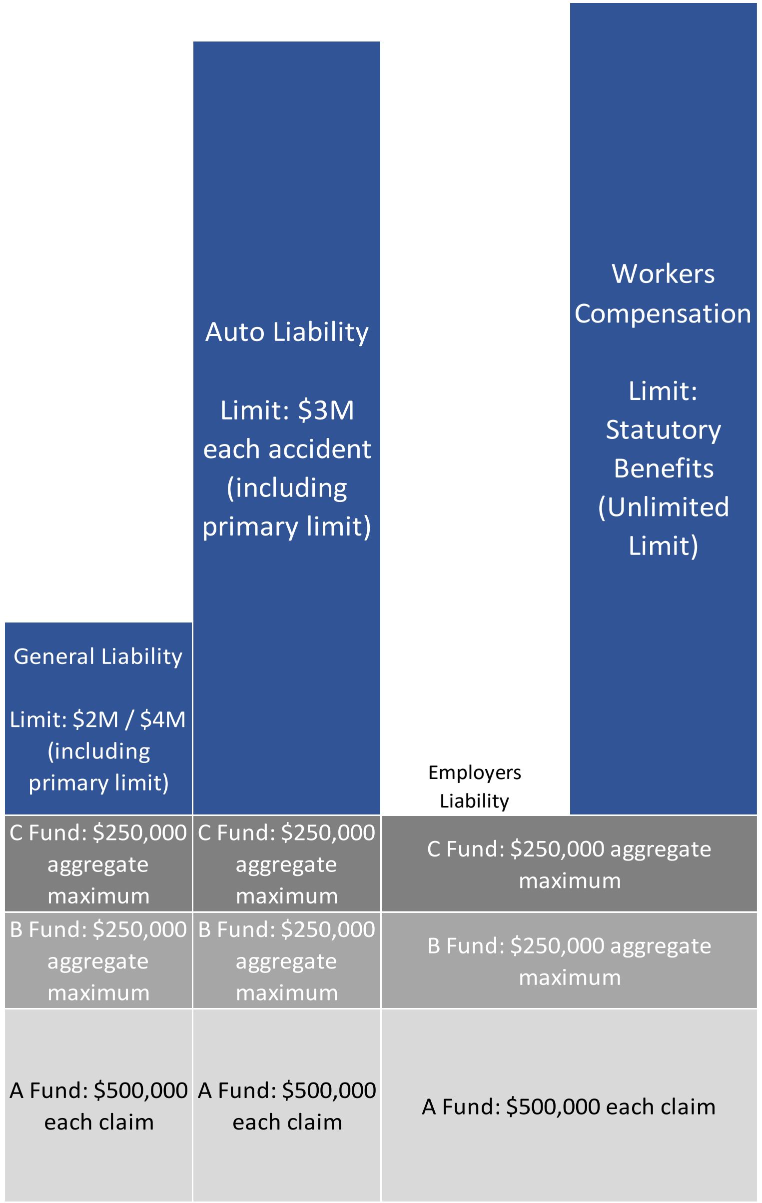
- Group Captive – Traditional Approach
  - Program costs are lower
  - Paid and reserved losses are funded during policy year
  - Loss funds earn investment returns and dividends could begin within a year
  - Collateral capped at 150% of A Fund (approx. $7M)
  - Five years from now, dividends will “stack up” from multiple prior years, lowering future net costs

Everest Renewal Program



Collateral: $3M in in year one, $3.1MM in year two...

CRI Captive



Collateral: 50% of A Fund per year for 3 years

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Renewal Options Comparison

(General Liability, Workers Compensation, and Auto Liability)

	Everest				Liberty	Olympus (CRI)		AIG
	Expiring	Expiring Adjusted	Renewal (As Is)	Renewal (B)		Option A	Option B	
Policy Limits								
General Liability	$1M/$2M	$1M/$2M	$1M/$2M	$1M/$2M	$1M/$2M	$2M/$4M	$2M/$4M	$1M/$2M
Workers Compensation (WC)	Statutory	Statutory	Statutory	Statutory	Statutory	Statutory	Statutory	Statutory
Employers Liability (EL)	$1M/$1M/$1M	$1M/$1M/$1M	$1M/$1M/$1M	$1M/$1M/$1M	$1M/$1M/$1M	$1M/$1M/$1M	$1M/$1M/$1M	$1M/$1M/$1M
Auto Liability	$3M	$3M	$3M	$3M	$3M	$3M	$3M	$3M
Deductibles								
General Liability	$50,000	$50,000	$50,000	$50,000	$150,000	$500,000	$500,000	$100,000
WC/EL	$100,000	$100,000	$100,000	$250,000	$350,000	$500,000	$500,000	$250,000
Auto Liability	$500K/$250K	$500K/$250K	$500K/$250K	$500K/$250K	$750,000	$500,000	$500,000	$750,000
Est'd Losses (EPIC) within Deductible	$2,461,824	$3,101,899	$3,517,000	$3,765,000	$4,519,000	$4,897,000	$4,897,000	$4,436,000

Loss Forecast Percentage 100%	Everest				Liberty	Olympus (CRI)		AIG
	Expiring	Expiring Adjusted	Renewal (As Is)	Renewal (B)		Option A	Option B	
Program "Fixed" Costs (Subject to Audit)								
Commercial General Liability Premium	$118,155	$155,016	$160,100	$160,100	$182,258	$60,000	$60,000	$157,500
Automobile Liability Premium	$2,710,076	$3,575,639	$3,624,790	$3,624,790	$2,148,896	$1,260,000	$1,260,000	$2,010,000
Workers Compensation Premium	$800,398	$910,039	$1,050,006	$503,086	$186,243	$90,000	$90,000	$825,000
Fees and Unbundled Expenses	Incl.	Incl.	Incl.	Incl.	$18,855	$1,075,343	$1,075,343	$195,000
Claims Admin	$120,000	$150,000	$150,000	$150,000	$150,000	Incl.	Incl.	$150,000
"Fixed" Expenses Subtotal	$3,748,629	$4,790,694	$4,984,896	$4,437,976	$2,667,397	$2,485,343	$2,485,343	$3,142,500
Loss Sensitive Premium								
A Fund	N/A	N/A	N/A	N/A	N/A	$4,201,192	N/A	N/A
B and C Fund	N/A	N/A	N/A	N/A	N/A	$932,638	$932,638	N/A
Losses								
Loss Projections (EPIC)	$2,461,824	$3,101,899	$3,517,000	$3,765,000	$4,519,000	$4,897,000	$4,897,000	$4,436,000
Loss Projections (Provided by Insurer)	$3,900,000	$4,914,000	$5,594,250	$5,825,250	$6,281,000	$4,201,192	$4,201,192	N/A
Cash Flow During Policy Year								
"Fixed" Expenses	$3,748,629	$4,790,694	$4,984,896	$4,437,976	$2,667,397	$2,485,343	$2,485,343	$3,142,500
Refundable Premium	$0	$0	$0	$0	$0	$932,638	$932,638	$0
Paid Losses (or A Fund)	$600,000	$806,494	$914,420	$978,900	$1,174,940	$4,201,192	$1,273,220	$1,153,360
Sub-Total (Including IBNR)	$4,348,629	$5,597,188	$5,899,316	$5,416,876	$3,842,337	$7,619,173	$4,691,201	$4,295,860
Cash Flow Incurred After Policy Year For Losses Occurring in the Policy Year								
Paid Losses	$1,861,824	$2,295,405	$2,602,580	$2,786,100	$3,344,060	$0	$3,623,780	$3,282,640
Dividends	N/A	N/A	N/A	N/A	N/A	($143,566)	($839,374)	N/A
Investment Income	N/A	N/A	N/A	N/A	N/A	($500,000)	($50,000)	N/A
Assessment	N/A	N/A	N/A	N/A	N/A	$0	$0	N/A
Total Ultimate Cost								
Total	$6,210,454	$7,892,592	$8,501,896	$8,202,976	$7,186,397	$6,975,607	$7,425,607	$7,578,500

Look Ahead to 2027

(General Liability, Workers Compensation, and Auto Liability)

Cash Flow

Large Deductible Plan		
Program Costs	$7,500,000	
2027 Losses	26%	$774,902
2026 Losses	31%	$922,639
2025 Losses	18%	$529,567
2024 Losses	11%	$331,645
2023 Losses	6%	$183,494
Total	$10,242,247	

Group Captive (Fully Funded)	
Program Costs	$8,750,000
2027 Est'd Dividend	$0
2026 Est'd Dividend	($500,000)
2025 Est'd Dividend	($900,000)
2024 Est'd Dividend	($450,000)
2023 Est'd Dividend	($350,000)
Total	$6,550,000

Above amounts are for illustration purposes only.

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Look Ahead to 2027

(General Liability, Workers Compensation, and Auto Liability)

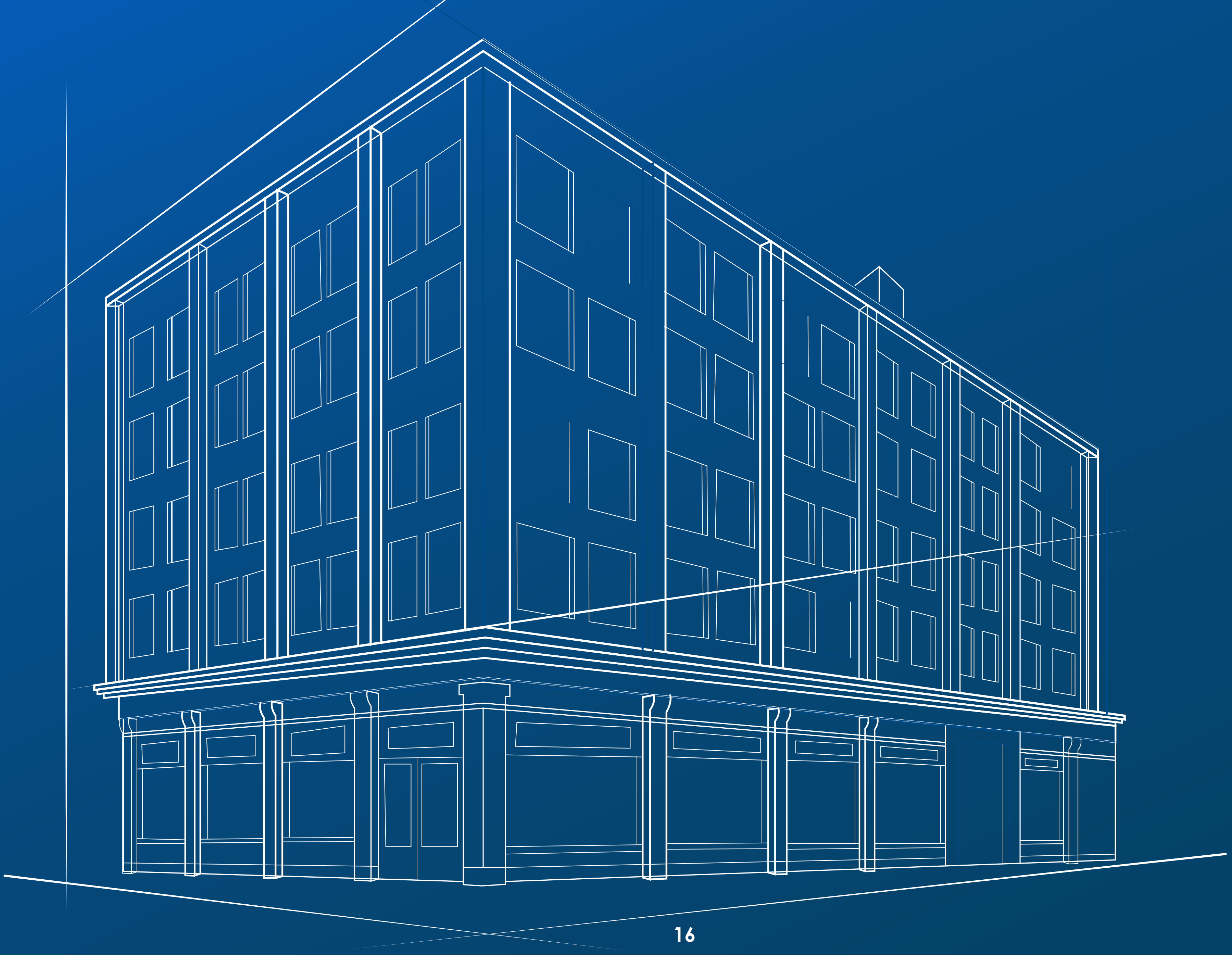
Collateral

Year	Everest	Liberty	Olympus/CRI
2022	$3,037,000	$4,500,000	$2,471,290
2023	$3,051,664	$4,725,000	$2,594,854
2024	$3,204,247	$4,961,250	$2,724,597
2025	$3,364,460	$5,209,313	$0
2026	$3,532,683	$5,469,778	$0
2027	$3,709,317	$5,743,267	$0
Subtotal	$19,899,370	$30,608,608	$7,790,740
Adjustments	($4,373,332)	($6,670,238)	$0
Total	$15,526,038	$23,938,370	$7,790,740

Above amounts are for illustration purposes only.

UES - General Liability, Workers Compensation, and Auto Liability Key Coverages

General Liability	Auto Liability	Workers Comp
Additional Insured - CG 2010 Blanket	Liability - All vehicles incl. hired	USL&H - If Any
Additional Insured - CG 2037 Blanket	Auto Physical Damage - Rentals Only	Waiver of Subrogation - Blanket
Waiver of Subrogation - Blanket	Waiver of Subrogation - Blanket	Alternate Employer - Blanket
Primary Non-Contributory Wording	Additional Insured & Loss Payee - Blanket	Outer Continental Shelf Lands Act
Broad Form Named Insured	Primary Non-Contributory Wording	Maritime Coverage
Contractual Liability - railroad property	Broad Form Named Insured	Voluntary Compensation Maritime
Limited Joint Venture Coverage	Knowledge of Occurrence	Unintentional Errors and Omissions
Watercraft Liability (non-owned under 75 ft.)	Unintentional Errors and Omissions	Voluntary Compensation and EL
Host Liquor Liability	Employee Hired Autos	Terrorism Risk Program Reauthorization Act
Terrorism Coverage	Fellow Employee Coverage	
Bodily Injury or Property Damage Expected or Intended	Auto Loan/Lease Gap Coverage	
Knowledge and Notice of Occurrence	Drive Other Car Coverage - Broadened Cover for Named Individuals	
Unintentional Errors and Omissions		
Limited Contractual Liability Coverage for Personal Injury and Advertising Injury	Employees as Insureds	
	MCS-90	
Amended Worldwide Coverage Territory Definition	Pollution Liability - Broadened Coverage For Covered Autos	
Per Location/Per Project Aggregate- $20M General Aggregate Limit		



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